

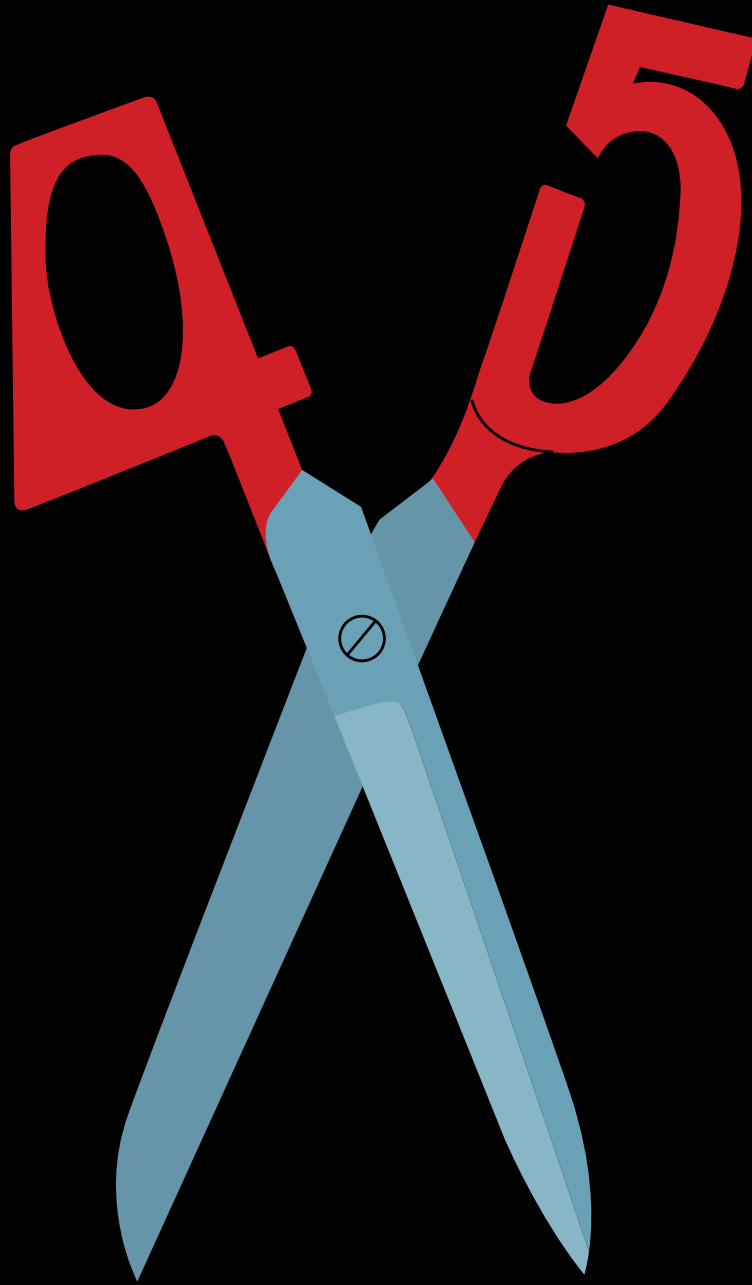


ILLUSTRATION BY **RAJ VERMA**

THE INCOME TAX CHALLENGE

- 1** The Finance Act 2023 inserted a clause in the Income Tax Act to ensure payments within 45 days to MSMEs
- 2** In case of non-payment within 45 days, buyer will have to pay tax on the amount
- 3** The MSME sector has sought deferment and extension of deadline to 60 or 120 days
- 4** Many MSMEs have faced cancellation of orders since the rule came into effect